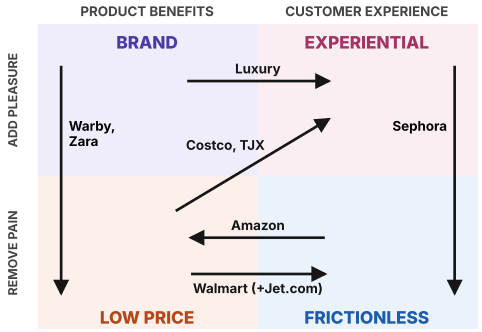
MKTG 6110 Final: MAX Cheat Sheet (1/2) · ★ SAMPLE-QUESTION TOPICS

① KAHN RETAILING SUCCESS MATRIX ★ sample MC

SAMPLE Amazon = **best at Frictionless, leveraging it to be best at Low Price, fair value at Brand & Customer Experience.** ✘ "Best at Experience & Brand" · ✘ "Best at Low Price & Brand" · ✘ "Best at Experience → Brand".

Why it exists: the "retail apocalypse." Customers go where they get the **best value on what they care about**; there are only 4 ways to offer superior value.



Arrow = **start strength → leveraged 2nd quadrant**. **Brand**: products pull you in (brands, design, curation). **Experiential**: fun (discovery, service, community). **Low Price**: operational excellence (EDLP, lean, cut middlemen). **Frictionless**: easiest (no lines, fast, one-stop, data personalization).

1. **Survive** = at least **fair value** (customers' minimum) in **ALL 4**. Below in any one → leave (RadioShack failed).
2. **Lead** = **best in 1 → leverage into a 2nd** ("arrow" strategy).
3. **Don't overspend** in the other 2; "good enough" is enough (extra spend drains your strengths).
4. **Bar keeps rising**: a leader's edge becomes everyone's new minimum (2-day delivery). Old view "best at 1" is no longer enough.

Trap: Amazon & Walmart = SAME 2 quadrants, OPPOSITE start. "Best at X, leveraging to Y": X = starting strength.

CLASS **Sim:** Getchells = **Macy's**, mid-tier dept store "**stuck in the middle**" (Sephora, TJX, Walmart, Costco win). Fair value = **75% of leader**. Spending moves you only if you **outspend rivals** over time ("sluggish"). Levers: online → F · shopping exp. → E · service → F+E · **vendor mgmt → LP** (best long-term; "manage costs even if not low price") · brand quality/private brands → B · analytics = booster · stores = access, not preference. Best teams: **lead 2 + parity 2**.

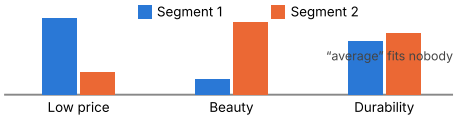
e.g. Brand: Nordstrom, Best Buy, Kroger, LV, Hermès, Lululemon, Glossier · Exp: Sephora, Apple Store, Eataly, Whole Foods, Trader Joe's, Stitch Fix, Duane Reade · LP: Walmart, Costco, T.J.Maxx, Burlington · F: Amazon · Sim: Cadabra=Amazon, PriceMart=Walmart, AIM=Target, BestCo=Costco, Zephara=Sephora, KT Benny=JCPenney

② WHAT MAKES A GOOD SEGMENTATION ★ sample MC

SAMPLE East/west by geography: good? → **"It depends on whether consumers WITHIN each division were relatively homogeneous in their reactions to marketing variables and the two divisions were sufficiently DIFFERENT from each other."**

Why the others are wrong: "distinct, no overlap" (separate on a map ≠ behave differently) · "geography never good" (too absolute: climate, culture) · "hard to observe/reach" (geography is EASY) · "heterogeneity WITHIN" = **backwards**.

Segmentation = split the market into groups to serve each well. "**Serving the average buyer well serves no one**"



Good segment: ✔ **homogeneous within** (react the same to the 4Ps) ✔ **heterogeneous between** ✔ identifiable ✔ reachable ✔ big/profitable enough ✔ **actionable** ("only valuable if actionable"). Firms **uncover**, not create, segments (reasons-why/AI, interviews, cluster, conjoint, latent class).

Type	Consumer	B2B
Geographic	zip, region, country	same
Demographic	age, gender, income, family, education	industry/SIC, size, sales, R&D
Psychographic	personality, lifestyle/VALS, media	culture, power structure
Attitudinal	**benefits sought**, price sens., loyalty	benefits, price sens., supplier loyalty
Behavioral	occasion, usage rate, repeat/CLV	application, order size, relationships

Benefit segmentation is best but benefits are **invisible** → find **observable variables that correlate** (aisle, usage). **Gender shortcut** ("tactical, but strategic?"): ① stereotypes ② shrinks market/alienates ③ people don't fit boxes ④ seems unfair. (It IS easy to observe.)

Quidel	Hopefuls (want baby)	Fearfuls (don't)
Who	older, more $, married	younger, less $, single
Promise	simplest, most trusted way to know your family will grow	peace of mind in 30 sec
Where / ext.	pregnancy aisle · ovulation	birth-control aisle · strep/STD tests
Price	$9.49	$6.99

Targeting	Attractive	Unattractive
Good fit	**Perfect!**	Domination essential
Poor fit	Beware shake-out	**Stay away**

e.g. Quidel (CEO Scott Glenn: "can't be all things to all people") · Sim 6 segments (Seg 1 online/low price → Cadabra; Seg 2 low price in-store → AIM/PriceMart; Seg 3 brand/experience → Zephara; Seg 6 low price + experience → BestCo) · Lululemon: suburban women 30–40s → men, global

③ BRAND ARCHITECTURE ★ sample MC

SAMPLE Firm managing risk; risky new-tech division; protect established brands → **HOUSE OF BRANDS.** ✘ Branded house · ✘ Brand repositioning / ✘ brand identity (not ways to organize a portfolio).

Brand architecture = how a multi-product firm names things: ONE company name vs EACH product its own. Trade-off: **save money by sharing a name** vs **protect each brand from others' problems.**

separate names · risk contained · costly ⟷ one name · cheap · shared risk

HOUSE OF BRANDS	ENDORSED	SUB-BRAND	BRANDED HOUSE
P&G, pharma	Loft by Ann Taylor	Amazon Prime, AWS	Virgin

Type	Example	✔	✘
House of Brands	P&G, Unilever, pharma, LVMH	own segments; **failure contained**; no dilution	**most costly**; internal competition
Endorsed	Loft *by Ann Taylor* → Loft	borrows parent credibility; can "graduate"	negative spillover
Sub-brand	Amazon Prime, AWS	independence + parent equity	can dilute master
Branded House	Virgin	**cheapest**; strongest single equity	**one failure hits all**

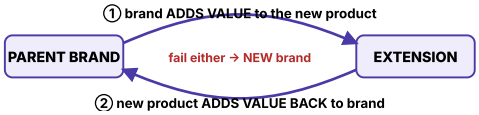
CLASS "House of brands is all new brands… **P&G** owns a million soap brands." Why: don't dilute, target different segments. **Pharma**: "too much risk. If one brand, God forbid, **kills people**, you don't want that to affect the whole portfolio" (= sample logic). "Branded house is obviously **cheaper**." **Endorsed**: Ann Taylor customers aged → "Loft by Ann Taylor" → Ann Taylor "older and tireder" → just Loft. **Sub-brand**: "keeping the name the whole time." **LVMH**: no extensions but **synergies**: back office, ad dollars, real estate (best locations, together), hiring/moving designers. **Toyota → Lexus** (luxury Toyota not credible); **Kia** moving up under own name ("will it work? I don't know").

Goals: strong brands · synergy · clarity · leverage. **Amazon = hybrid**: Basics (branded house) · Prime, AWS, Alexa (sub) · Audible (endorsed) · Zappos, Whole Foods, Twitch, Ring (house of brands).

④ BRAND EXTENSIONS & LUXURY ★ sample essay

SAMPLE Gucci/Hermès careful vs Pierre Cardin overextended: how to weigh **long-term equity vs short-term revenue**? **Grading:** does it **reinforce or dilute prestige/scarcity**? Short-term profit, but going too far into mass market isn't worth it. Must mention **luxury: too accessible / too available → loses cachet → loses luxury premium.**

Extension = famous name on a new product. CLASS 2 advantages: ① **leverage equity** ("much cheaper to introduce") ② **move the brand** (Mountain Man: older beer → young drinkers).



"Never extend a brand if it's weak… never extend if it's gonna weaken the original… two strong links."

Horizontal = new category, similar price (Clorox → wipes; Starbucks → bottled Frappuccino; **Lulu women → men**: women bought men's clothes first; Kahn wrongly doubted it). Risk: stretch too many ways → "lost what it originally meant." **Vertical** = same category, higher/lower price (BMW $160k vs $31.5k). **Down** sells volume but damages the top; **up** may not be credible → Toyota made **Lexus**; Kia tries own name; Amazon luxury? doubtful.

Luxury = scarcity/exclusivity · **heritage** ("can't be European luxury unless you're European luxury": 200 yrs = lasting advantage) · price premium (perfume 90–95% brand). **Pierre Cardin**: licensed everywhere → quick money, lost cachet. Hermès/Gucci extend only where the brand stays rare.

Essay framework: ① fit: reinforce or dilute? ② two-way test ③ direction (down = danger) ④ short-term gain (+ cannibalization risk) ⑤ long-term cost (measure: price premium, BAV, Interbrand) ⑥ alternatives (new/endorsed/sub-brand).

Keep fresh CLASS: **Schweppes** old & tired in COVID cocktail boom → **heritage** made modern · **Pepsi** music (incubates young musicians) · **Porsche** gaming showrooms · **LV × Supreme** · **silver bullet** (radical, risky). "Young people always rebel against what their parents do."

⑤ SUBSCRIPTION PERKS ★ sample essay

SAMPLE Free shipping, gifts, exclusive deals: 2 unintended consequences? **Grading:** ↑ signups but **erode margins** & **train customers to expect discounts**; some buy **only when offers exist** → **reduces incremental value**, may **cannibalize full-price sales**.

`CLV = m × r ÷ (1 + i − r) − AC`

m = yearly profit/customer · r = retention · i = discount (10%) · AC = acquisition cost. Multiplier r/(1.1−r): r .8 → **2.67×**; Costco ~.92 → **5.1×**.

Scenario	m	r	CLV
No perks	$100	80%	$266.67
Perks $25, r → 85%	$75	85%	**$255 ↓**
Perks $25, r → 88%	$75	88%	**$300 ↑**

Perks pay only if retention rises enough: here need ~**86%** to break even. Sign-ups alone prove nothing.

4 consequences: ① **margin erosion** (cost every order; heavy users cost most) ② **trained to expect discounts** (reference price ↓, wait for deals) ③ **deal-seekers → low incrementality** ④ **cannibalize full-price sales** (loyal buyers get discount for nothing).

CLASS Student: discount loyal buyers? Kahn: "**Oh, you do that? Not me. I raise price.**" Loyal = **less price-sensitive** (American Airlines in Philly: pay "crazy" prices for "three peanuts"). Subscriptions = **3-part tariff** (2nd-degree); freemium = **penetration**.

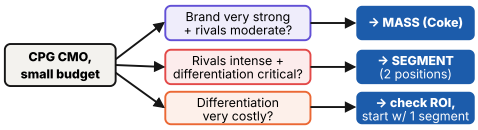
Better: tiers/thresholds · **non-price perks** (access, service, experiences) · **measure incrementality** vs control group · protect full-price integrity (esp. premium/luxury).

e.g. Amazon Prime · Costco (92.2% US/Can renewal; $1.33B fees/qtr, +14%) · American Airlines · Netflix · newspapers · Dropbox/AI freemium · Dollar Diaper Club

⑥ MASS vs TWO SEGMENTS ★ sample essay (25% × 4)

SAMPLE CPG CMO, limited budget: one mass positioning vs two distinct segments? **Grading:** mass = **lower cost, efficient media**, less tailored; segments = **more relevant**, complex/costly. Depends: (a) **competitive intensity** high + differentiation critical → segment (b) differentiation **very costly** → check **ROI** (c) **very strong brand** (Coke) → mass OK. **25% options · 25% cost · 25% competition · 25% brand.**

	Mass, 1 position	2 segments
✔	cheaper, efficient media, scale, simple	relevant, higher price, harder to attack
✘	"serves no one"; picked off by focused rivals; stuck in middle	2× products/ads/channels; splits small budget; may do both poorly



CLASS **Awareness-first** (Coke, Bud; mass CPG; **double jeopardy**: big penetration → more frequency) vs **passion-first niche** (BAV; Lululemon; "cost efficient & more realistic" with fragmented media; may not scale). Awareness without energized differentiation = **not a strong brand**. **Selectivity & concentration**: choose & focus. Quidel = 2 segments done right; Pringles = vague → kids/teens.

Recommend: "Mass only if brand strong & competition moderate; otherwise **concentrate on the best-fit segment first**, prove ROI, then add the 2nd."

✍ ESSAY RECIPE (9 pts each · answer EVERY part)

1 · 5Cs: ANALYZE
Customers → needs
Company → resources
Competitors → weak spots
Collaborators → shared goals (partners, stores)
Context → PESTLE
Opportunity? Yes/no
Facts → IMPLICATIONS
(not a list!)

2 · STP: STRATEGY
Segment: which ponds? alike in, different out
Target: which pond? attractive + good fit
Position: biggest fish
Target · POD ·
Frame of ref · RTB
"Where can I win?"
Select & concentrate

3 · 4Ps: EXECUTE
Product: + brand, extensions
Price: cost ↔ EVC, discrimination
Promotion: ads, message, perks
Place: channels, direct vs indirect
All must fit position

PESTLE = Political · Economic · Social · Tech · Legal · Environmental
Numbers: margin & break-even · BECR · chain · CLV · EVC

1 POSITION → 2 TRADE-OFF → 3 DEPENDS → 4 EXAMPLE → 5 REC+RISK

1. **Position** in sentence 1
2. **Trade-off** (short vs long term · cost vs relevance · margin vs volume)
3. "**It depends on…**" cost · competition · brand strength · customer
4. **Course example** (Pringles, Quidel, Acuvue, Bud Light, Amazon, Costco, Nike, Lulu)
5. **Recommend + biggest risk** (+ how to measure)

MKTG 6110 Final: MAX Cheat Sheet (2/2) · 🎤 STRESSED IN CLASS + rest

Exam: lecture only · no math · MC = BEST answer

⑦ MEASURING BRANDS: 3 WAYS & 2 OPPOSITE MODELS

① Customer-based (what's in the head)

Stage	Measured by
Awareness	**recognition**, **recall** (aided/unaided), **top-of-mind**, latency
Associations	asking "doesn't work well" → **conjoint**
Attitudes/emotion	**neuromarketing**: faces, arousal, eye tracking
Attachment	purchase history, conversion

Conjoint: people are "really bad" at stating importance → choose among bundles varying brand/price/features → back out weights ($U = w_{brand} + w_p \cdot price + ...$). **Price premium**: plain T-shirt vs logo T-shirt; difference = brand value.

② BAV (Young & Rubicam; 800k consumers, 47k brands)

Energized Differentiation (→ margins) · **Relevance** (→ trial) · **Esteem** (→ loyalty) · **Knowledge** (→ saliency). **Strength = D + R** (future) · **Stature = E + K** (now). Grid: hi/hi Leadership · hi str/lo stat Unrealized potential · lo str/hi stat Eroding · lo/lo New.

AWARENESS FIRST (Coke, Bud)

1 everyone aware (big ads)
2 associations
3 attitudes
4 loyalty

PASSION FIRST (BAV, Lulu)

1 niche
2 loyalty
3 new segments
4 broad awareness

	Awareness first	Passion first (BAV)
Idea	"all publicity is good"; familiar gets bought	niche energy, then expand
e.g.	Coke, Bud; mass CPG (double jeopardy)	Lululemon: rich yoga women in Canada → US → men
✔	mass "average" categories	cheap, modern (fragmented media), scale via digital
✘	known but meaningless = stuck in middle (TV Guide)	may not scale; WOM may not spread; network effects

③ Interbrand (brand as financial asset)

```
intangible earnings × % due to brand → 5–10 yr forecast → discount by BRAND STRENGTH + terminal value
```

Strong, stable (Coke) → **low rate → high value**; trendy → high rate. Secret sauce: % from brand (perfume ~95%, utilities 0%, pharma changed post-COVID) + 10-factor strength score (risk-free ~5%); "tiny changes compound." Same logic as CLV & sim market value. **Uses:** brand equity isn't on the balance sheet → **justify spend to CFO**; M&A; **lawsuits** (before/after); monitoring. Public, profitable firms only (non-profits like Wharton, Red Cross need another metric); best **within industry**; Top 100 = "PR mechanism."

> **e.g.** Coke $68B (#1 until 2013) → Apple $470.9B #1 · Nvidia +116% (biggest ever) · Tesla −35% · Zoom #100 (2020) · vodka $11.49/$23.99/$43.99 · Wharton–INSEAD alliance

⑧ PRICING BASICS: CEILING, FLOOR, IN BETWEEN

FLOOR = COST — **CEILING = EVC (max WTP)**

price set by COMPETITION + COMPANY

pool pill: $0.50 — real ≈ $10–20 (fairness, rivals) — $220 EVC

"Highest they'll pay? Where are costs? Price somewhere in between."

EVC = value in $, **in the customer's terms**; common in **B2B** (software, services, energy); consumer = more branding. Showing it **raises the reference point** even if you don't get it (EVs vs gas; efficient appliances).

> **Pool pill (Prof. Raju, 20,000 gal):** drain $1/1,000 = **$20** + refill $1/100 = **$200** = **$220** + headache (student: $450). Real price ≈ **$10–20**: ① **fairness** (~$0.50 chlorine) ② **competitive rivalry** ("$200 margin? I'll come in at $100" → $50...). No rivals + R&D story (pharma) → near EVC.

Floor, 2 ways: markup (cost + %: Costco ~11%, Walmart ~25%) vs **break-even** (each unit carries share of fixed: "really covering your cost"). Do both in BeWood.

Widget ($7, VC $1, fixed+OH $4,500)	1,000 units	750 units
Revenue − VC − fixed	7,000 − 1,000 − 4,500	5,250 − 750 − 4,500
Profit	$1,500	**$0**

> **Right answer: LOWER price**: fixed-heavy → need volume, "**cover the fixed**" (raising loses $ at −5% or −33% volume). **Variable-heavy → RAISE** (Jesse's **omakase**: fish + chef time per seat; cheap front room covers the building).

Company factors: ① max profit (price discrimination) ② cover costs ③ product-line logic (premium can't be below cheap). **Competition = game theory: CAN** they match (costs)? **WILL** they? **Warby $95 vs Luxottica ~$300**: could crush, wouldn't (too much margin at stake, can't raise back; CEO waved it off). Raju advised Warby's founder.

⑨ PRICE DISCRIMINATION (legal, ethical, "fair")

Degree	How	Examples
1st	unique price per person (negotiate to max)	used cars, antiques, art, rugs, B2B (control sales force: they discount to close, BeWood)
2nd	self-select trade-off, usually **quantity**	bulk; **2-part tariff** (razor+blades, HP ink, Keurig pods); **3-part** (subscriptions, newspapers); loyalty programs
3rd	by **segment**; less sensitive pay more	menu below

- **Skim** = start HIGH, drop (Apple; runway → ready-to-wear → T.J.Maxx) · **Penetration** = start LOW/free, raise (intro phone plans, first-timer coupons, **freemium**: Dropbox, AI)
- **EDLP** (Walmart, Best Buy) + **price match**: most stop searching; "price match ⇒ probably a cheaper price out there" · **High-low**: **loss leaders** pull you in, rest above EDLP; **cherry-pickers** hurt, "most people don't"
- **Random** (coupons, promo-code box) vs **periodic** (early bird, end of season, 3pm movies)
- **Secondary market**: students/seniors with **ID** (transaction cost fences it) · **Versioning** good/better/best (first class priced above its benefits; most buy middle)

> **Loyalty ≠ discount:** loyal = less price-sensitive → "I raise price."

⑩ PLACE & CHANNELS

Was Kahn's "least favorite P" (logistics) → now **favorite**: in mature categories, **go-to-market & experience = how you stand out**. **30–50% of final price** sits in the channel. Channels: sell/educate/demonstrate, **assortment** (**breadth** = # categories, **depth** = # choices within), comparisons, final price & promos, logistics.

Maker → Distributor → Retailer → Customer

+markup +markup +markup

indirect = double marginalization · DIRECT skips the middle (keep margin + data)

	Direct	Indirect
✔	full margin, control, **own DATA**	scale; they distribute; customers compare
✘	**hard to scale**, logistics on balance sheet, need awareness, may not fit how people decide	**double marginalization**, **channel conflict/power**, less control

Double marginalization: each member marks up separately → **customer pays more AND each earns less**; channel often earns more than the brand (BeWood). **Power & data:** "who owns the data = critical negotiation point" (Amazon, Dexcom × Apple Watch/Oura); US **car dealers** protected → **Tesla**: "not a car"; Amazon "can't live with/without."

Nike: 2020 DTC + **CLV** (bought Fader's company), cut wholesale (kept Dick's, Foot Locker, Nordstrom; left running stores) → acquisition hard + supply chain → shoppers bought **HOKA, On, New Balance**, not Nike.com; innovation lagged (Air Max, AF1) → 2024 product veteran CEO, **rebuild wholesale**.

Mid-tier dept stores stuck (Kohl's, JCPenney, Macy's); Sephora sells same beauty as Macy's, better. DTC brands (Bonobos, Rent the Runway) → Nordstrom/Amazon for **scale**; luxury → direct / store-in-store for **control**. "It depends." **Mono-brand** (Apple, Lulu) vs **multi-brand**; **national** (Coke, Dior) vs **private** (Kirkland). Apocalypse = too many stores + inventory + **debt**.

CLV (slides)

CLV = profit from a customer over all years in today's $ (margin × retention, discounted, minus acquisition cost). Concepts: 1-yr break-even looks bad, lifetime view looks good; **retention & discounting shrink value**; **averages mislead** (Avon: segments $1.89B vs average $0.87B). Uses: Mktg CAC ≤ CLV · Ops: service by segment · Fin: customers = asset. 80/20. Levers: cut cost-to-serve, fire low-CLV / invest in high-CLV, cross/upsell, lock-in.

⑨+ PRICE SENSITIVITY · BUNDLES · DYNAMIC · SUBSCRIPTIONS (exam review)

Elastic = small price change → big demand change · **Inelastic** = price ↑, people still buy. **Marketers WANT inelastic.**

LESS sensitive (inelastic)	MORE sensitive
no substitutes / necessity (pharma) · strong brand, **price = quality signal** · **switching costs** (Wells Fargo multi-account, learned software) · **hard to compare** (diff. model #s, pack sizes) · **3rd-party pays** (insurance, employer biz class) · **mental accounting** (vacation: Paris tourist trap vs Philly) · **scarcity** (Birkin, Ferrari invite-only) · **loyalty** (airline elite)	substitutes · discretionary (restaurants) · **can stockpile** (buy only on sale) · easy comparison (**Amazon** shows comps to push private label)

> **Scarcity**: fine for luxury; legal at **Walmart** but ethical/PR risk. **Fairness** decides.

Bundle < sum of parts: sensitive on **main item** (computer), insensitive on **peripherals** → margin there = **loss-leader** logic (grocery). **End-of-aisle** display removes visible substitutes.

Dynamic pricing → toward **1st-degree**, captures surplus; acceptance = **fairness**. **Uber** ✔ (labeled from start + **2-sided**: ↑price → ↑drivers) vs **Wendy's/Walmart** ✘ backlash (exploit need). Airlines/Amazon routine. **Surge vs gouging** = perceived alternatives + fairness.

Subscriptions: replenishment (**Harry's**) · curated box (**Birchbox**: $ from **full-size** buys) · tiered loyalty.

> **Iyengar loyalty study** (Asian beauty co.): **endogeneity / self-selection** (Prime members spend more because heavy spenders join). Program: **frequency ↑**, basket **slightly ↓**, effect **fades**; **~25% of members = no profit** → heterogeneity: use data for **differentiated incentives**, mind fairness.

MATH = CONCEPTS ONLY (no calculations on exam)

UC = price − VC · **break-even** = fixed ÷ UC · **BECR** = new UC ÷ old UC (max OK cannibalization) · **EVC** = rival life cost − switch − running + extra value · **wCPM** = cost per 1,000 *target* reached. **Acuvue**: One Day costs patients more/yr ($292 vs $208) and pays eye doctors less → doctors won't push: **channel incentives = binding constraint**; reposition vs other contacts, not glasses. Always do margin analysis.

STP, FIRM, JOURNEY, BOYCOTTS, SIM (slides)

① **Target**: for whom? · ② **Point of difference**: why us? · ③ **Frame of reference**: vs what? · ④ **Reason to believe**: proof

"To *[target]*, *[brand]* is the *[frame]* that *[POD]* because *[RTB]*": internal → shown via 4Ps. **Pringles**: trial 25% → 7% (artificial) → kids/teens vs all snacks → Kellogg $2.7B. *Make what you can sell.* Mktg creates, Ops delivers, Finance captures: Rolls-Royce ✔ vs Peloton ✘. Journey = web, find the **drop-off**; SEO → GEO "known ≠ found" (44% SaaS); Share of Model; digital twins ≈0.2 correlation. **Boycotts**: Nike +31%/+$6B · Goya +22% short-run · Bud Light −28%, 8 mo, shelf −5–7.5% (polarized, substitutable, visible, identity, media, shelf). **Sim value** = discounted FCF − debt; max(DCF, CLV/brand, liquidation); **ROIC > WACC**; 1–2 pt WACC = 20–30% value; credit = current ratio, interest coverage, D/E; budget = max(14% rev, last × infl.); idle cash bad; 8 rounds, graded vs teams.

🔤 ABBREVIATION KEY (look here if unsure)

Course & strategy

5Cs = Customers, Company, Competitors, Collaborators (partners), Context
STP = Segmentation, Targeting, Positioning
4Ps = Product, Price, Promotion, Place
PESTLE = Political, Economic, Social, Technological, Legal, Environmental: outside forces
POD = Point of Difference: why pick us
RTB = Reason to Believe: proof of the POD
Frame of ref. = Frame of Reference: what you're compared against
B / E / LP / F = Kahn Matrix: Brand / Experiential / Low Price / Frictionless
B2B · B2C = Business-to-Business (sell to firms) · Business-to-Consumer
CPG = Consumer Packaged Goods: soap, snacks, drinks
VALS = Values and Lifestyles: personality/lifestyle survey
SIC = Standard Industrial Classification: industry code
MC · Sim = Multiple Choice · the Pivot or Perish simulation

Money & math

CLV = Customer Lifetime Value: profit from one customer over all years, in today's $
CAC · AC = (Customer) Acquisition Cost: $ to win one customer
m · r · i = yearly margin · retention rate (% who stay) · discount rate
UC = Unit Contribution: price − variable cost (profit per unit)
VC · OH = Variable Cost (per unit) · Overhead (fixed running costs)
BE = Break-Even: sales where profit = $0
BECR = Break-Even Cannibalization Rate: max % of a cheaper new product's sales that may come from your own old product
EVC = Economic Value to the Customer: max a fully informed customer should pay (price ceiling)
WTP = Willingness To Pay
wCPM = weighted Cost Per Thousand: ad cost per 1,000 TARGET people reached
ROI = Return On Investment
ROIC = Return On Invested Capital: profit per $ invested; must beat WACC
WACC = Weighted Average Cost of Capital: what money costs the firm; ↑WACC → ↓value
FCF · DCF = Free Cash Flow (cash left over) · Discounted Cash Flow (future cash in today's $)
D/E = Debt-to-Equity: borrowed vs owned money (risk)
R&D = Research & Development

Marketing terms

EDLP = Everyday Low Price: steady low prices (Walmart)
DTC = Direct-to-Consumer: brand sells to you itself, no store in between
WOM = Word of Mouth
BAV = BrandAsset Valuator (Young & Rubicam): brand-health scorecard
SEO · GEO = Search / Generative Engine Optimization: show up on Google vs in AI-chat answers
AI · PR = Artificial Intelligence · Public Relations (publicity)
M&A = Mergers & Acquisitions: buying companies
CMO · CFO · CEO = Chief Marketing / Financial / Executive Officer
STD = sexually transmitted disease (Quidel's self-tests)

Company short forms

P&G = Procter & Gamble (Tide, Pampers, Gillette)
LVMH · LV = Louis Vuitton Moët Hennessy (luxury group) · Louis Vuitton
TJX = T.J.Maxx's parent company
AWS · HP = Amazon Web Services · Hewlett-Packard (printers)
AF1 · EVs = Nike Air Force 1 · electric vehicles
INSEAD = European business school (Wharton alliance)
ZYX · PQR · ABC = made-up firms in the Marketing Math examples
Sim names = Cadabra = Amazon · PriceMart = Walmart · AIM = Target · BestCo = Costco · Zephara = Sephora · KT Benny = JCPenney · Getchells = Macy's (you)